

DEPARTMENT OF ECONOMICS
MACROECONOMICS (ECN1215) MAY 2017
TUTORIAL SHEET 6

1. Define the following terms
 - a) Absolute Advantage
 - b) Comparative Advantage
 - c) Comparative Advantage
2. Trade policy usually involves trade restrictions such as tariffs, quotas and voluntary exports restraints (VERs). What are tariffs, quotas and VERs?
3. Explain the following arguments for trade restrictions:
 - a) Infant industry argument
 - b) Dumping
 - c) Countervailing duties
4. Define an exchange rate and differentiate between a flexible exchange rate system and a fixed exchange rate system.
5. What is the Balance of Payments (BOP)? Explain the 3 components of the BOP?
6. You are given the information shown in the table about the production relationship between Portugal and England:

	Labor Hours per Bottle of Wine	Labor Hours per Pound of Cheese
Portugal	10	5
England	6	2

Portugal has 40 million labor hours in total and England has 30 million labor hours in total per year.

- a) Which country has absolute advantage in wine? In cheese?
- b) Which country has comparative advantage in wine? In cheese?

7. The following table gives recent figures for yield per acre in Illinois and Kansas:

	Wheat	Soyabeans
Illinois	48	39
Kansas	40	24

- a) If we assume that farmers in Illinois and Kansas use the same amount of labor, capital, and fertilizer, which state has an absolute advantage in wheat production? soyabeans production?
 - b) If we transfer land out of wheat into soybeans, how many bushels of wheat do we give up in Illinois per additional bushel of soybeans produced? in Kansas?
 - c) Which state has a comparative advantage in wheat production? in soybean production?
8. Suppose Germany and France each produce only two goods, guns and butter. Both are produced using labor alone. Assuming both countries are at full employment, you are given the following information:
- Germany:** 10 units of labor required to produce 1 gun 5 units of labor required to produce 1 pound of butter Total labor force: 1,000,000 units
- France:** 15 units of labor required to produce 1 gun 10 units of labor required to produce 1 pound of butter Total labor force: 750,000 units
- a) Draw the production possibility frontiers for each country in the absence of trade.
 - b) If transportation costs are ignored and trade is allowed, will France and Germany engage in trade? Explain.
 - c) If a trade agreement is negotiated, at what rate (number of guns per unit of butter) would they agree to exchange?

9. The United States and Russia each produce only bearskin caps and wheat. Domestic prices are given in the following table:

	RUSSIA	USA	
Bearskin caps	10 Ru	\$7	Per hat
Wheat	15 Ru	\$10	Per bushel

Suppose the exchange rate is $\$1 = 1 \text{ Ru}$.

- Which country has an absolute advantage in the production of bearskin caps? wheat?
 - Which country has a comparative advantage in the production of bearskin caps? wheat?
 - If the United States and Russia were the only two countries engaging in trade, what adjustments would you predict assuming exchange rates are freely determined by the laws of supply and demand?
10. Australia and the United States produce white and red wines. Current domestic prices for each wine are given in the following table:

	AUSTRALIA	USA
White wine	5 AU\$	10 US\$
Red wine	10 AU\$	15 US\$

Suppose the exchange rate is $1 \text{ AU\$} = 1 \text{ US\$}$.

- If the price ratios within each country reflect resource use, which country has a comparative advantage in the production of red wine? white wine?
- Assume that there are no other trading partners and that the only motive for holding foreign currency is to buy foreign goods. Will the current exchange rate lead to trade flows in both directions between the two countries? Explain.
- What adjustments might you expect in the exchange rate? Be specific.
- What would you predict about trade flows between Australia and the United States after the exchange rate has adjusted?